

**CENTRAL BOARD OF SECONDARY EDUCATION — PRACTICE EXAMINATION****CLASS IX • SOCIAL SCIENCE (SUBJECT CODE: 087) • ACADEMIC SESSION 2026-27****SET G — FINAL MASTERY & GRAND CHALLENGE TEST (60 MINS)****CHAPTER 09: THE PRICE PUZZLE: WHAT DRIVES THE MARKET**

TIME ALLOWED: 60 MINUTES

MAXIMUM MARKS: 25 MARKS

SERIES: CBS-IX-SST-SET-G-09

Student's Name: \_\_\_\_\_

Roll No.: \_\_\_\_\_

Class &amp; Section: Class IX - \_\_\_\_\_

Date of Exam: \_\_\_\_\_

Invigilator's Sign: \_\_\_\_\_

**General Instructions (SET G - Final Mastery & Grand Challenge Test):**

1. The question paper comprises **25 Olympiad / NTSE / Advanced Analytical Multiple Choice Questions** of **1 mark each**.
2. Designed for **Final Curricular Mastery & In-Depth Analytical Rigour**: Target time is **60 Minutes**.
3. All questions are compulsory. There is no negative marking.
4. Darken the corresponding bubble on the **OMR Sheet** completely using a blue/black ballpoint pen.

**GRAND CHALLENGE SPECIAL:** This final assessment tests your multi-disciplinary analytical reasoning across historical source criticism, geomorphological dynamics, constitutional jurisprudence, and microeconomic market equilibria!

Q1. In neoclassical price theory, Alfred Marshall famously compared supply and demand to the 'two blades of a pair of scissors'. What was the core theoretical insight behind this metaphor?

- ☐ A That market prices are determined solely by government price inspectors ☐ B That neither utility (demand) nor cost of production (supply) alone determines equilibrium price; rather, price and quantity are determined jointly through the mutual interaction of both demand and supply ☐ C That cutting commodity prices always causes producers to go bankrupt ☐ D That supply curves are always horizontal while demand curves are vertical

**Scholarly Concept & Analysis:** Marshall resolved the classical vs marginalist debate by showing that just as both blades of a pair of scissors cut paper, market equilibrium price is determined jointly by demand (utility) and supply (marginal cost).

Q2. What is the primary underlying reason why the Demand Curve slopes downward from left to right for a normal commodity?

- ☐ A Producers reduce factory wages when output expands ☐ B The Law of Diminishing Marginal Utility, accompanied by the Income Effect and Substitution Effect of a price reduction ☐ C Government regulations mandate lower prices as consumption rises ☐ D Consumer income drops automatically whenever prices decline

**Scholarly Concept & Analysis:** The downward slope reflects: (1) diminishing marginal utility (successive units yield less satisfaction), (2) substitution effect (cheaper relative to substitutes), and (3) income effect (higher real purchasing power).

Q3. What differentiates a 'Change in Quantity Demanded' from a 'Change in Demand' in microeconomic analysis?

- ☐ A Change in quantity demanded is a movement along the same demand curve caused solely by a change in the commodity's own price, whereas change in demand is a shift of the entire curve caused by non-price determinants (income, tastes, prices of substitutes) ☐ B Change in quantity demanded shifts the curve left, while change in demand shifts it right ☐ C Change in quantity demanded applies only to luxury items, while change in demand applies to bread ☐ D There is zero difference; both terms are used interchangeably by economists

**Scholarly Concept & Analysis:** A price change causes movement along the curve (expansion/contraction of quantity demanded). Non-price factors (income, preferences, cross-prices) shift the entire demand curve (increase/decrease in demand).

Q4. If the price of commodity A increases by 10% and, as a direct consequence, the demand for commodity B increases by 15%, what is the economic relationship between goods A and B?

- ☐ A Goods A and B are Complementary Goods with negative cross-price elasticity ☐ B Goods A and B are Substitute Goods with positive cross-price elasticity ☐ C Goods A and B are Giffen Goods with zero elasticity ☐ D Goods A and B are completely unrelated commodities

**Scholarly Concept & Analysis:** When the price of one good rises, demand for its substitute rises as consumers switch away (positive cross-price elasticity,  $\$E_{AB} > 0\$$ ). Hence, A and B are substitutes (e.g., tea and coffee).

Q5. What defines a 'Giffen Good' in consumer demand theory?

- ☐ A A high-priced luxury sports car purchased exclusively for social prestige (conspicuous consumption) ☐ B An extreme inferior good with a strongly negative income effect that overpowers the substitution effect, resulting in an upward-sloping demand curve (demand rises when price rises) ☐ C A good whose production costs are paid entirely by foreign governments ☐ D A perishable agricultural commodity that rots within 24 hours

**Scholarly Concept & Analysis:** A Giffen good is a highly inferior staple without close substitutes where a price rise impoverishes poor consumers so much (negative income effect) that they buy more of it, violating the Law of Demand.

Q6. In the case of a 'Veblen Good' (associated with Thorstein Veblen's Theory of the Leisure Class), why might quantity demanded increase as price rises?

- ☐ A Because consumers buy it for 'Conspicuous Consumption', where the high price itself serves as a snob appeal and public signal of elite socio-economic status ☐ B Because higher prices automatically increase the physical nutritional value of the item ☐ C Because the government offers cash subsidies to buyers of expensive goods ☐ D Because high prices make the item compulsory for school children

**Scholarly Concept & Analysis:** Veblen goods (luxury designer jewelry, supercars) exhibit ostentatious prestige demand: higher prices enhance exclusivity and perceived status, inducing higher demand among wealthy buyers.

Q7. Using the Percentage Method, if a 20% increase in the price of a product leads to a 20% decrease in its quantity demanded, the Price Elasticity of Demand ( $\$|E_d| \$$ ) is:

- ☐ A 0 (Perfectly Inelastic) ☐ B 1 (Unitary Elastic) ☐ C 2 (Highly Elastic) ☐ D Infinity (Perfectly Elastic)

**Scholarly Concept & Analysis:** Price elasticity of demand is  $\$|E_d| = |\% \Delta Q / \% \Delta P| = |-20\% / +20\%| = 1.0\$$ . This represents unitary elastic demand, where total expenditure remains constant.

Q8. According to the Total Outlay (Total Expenditure) method, if a reduction in the price of a commodity leads to an INCREASE in total expenditure by consumers on that good, the demand is:

- ☐ A Inelastic ( $|E_d| < 1$ ) ☐ B Elastic ( $|E_d| > 1$ ) ☐ C Unitary Elastic ( $|E_d| = 1$ ) ☐ D Perfectly Inelastic ( $|E_d| = 0$ )

**Scholarly Concept & Analysis:** When price falls and total spending rises (or price rises and total spending falls), the percentage change in quantity exceeds the percentage change in price ( $|E_d| > 1$ ), indicating elastic demand.

Q9. Which of the following goods is most likely to exhibit Highly Inelastic demand ( $|E_d| < 1$ )?

- ☐ A Life-saving insulin medication for a diabetic patient ☐ B A specific brand of luxury designer sunglasses with numerous identical alternatives ☐ C Air travel tickets for family beach vacation holidays ☐ D Branded premium chocolate ice cream

**Scholarly Concept & Analysis:** Life-saving medicines (like insulin) are absolute necessities with zero close substitutes and consume a modest fraction of income; consumers will buy them regardless of price increases.

Q10. Why does the Market Supply Curve typically slope upward from left to right?

- ☐ A Because higher prices reduce factory revenues ☐ B Because as market price rises, profit margins expand and existing firms expand output along their rising marginal cost curves, while new firms are incentivized to enter the market ☐ C Because raw material suppliers give free inputs when production increases ☐ D Because consumer demand rises automatically as prices climb higher

**Scholarly Concept & Analysis:** The Law of Supply states that, ceteris paribus, higher prices incentivize producers to supply more units because higher revenue covers rising marginal costs, yielding higher profits.

Q11. What happens in a competitive market if the prevailing market price is set ABOVE the equilibrium price?

- ☐ A Quantity demanded exceeds quantity supplied, creating an acute shortage ☐ B Quantity supplied exceeds quantity demanded ( $Q_s > Q_d$ ), generating a market surplus (excess supply) that exerts downward competitive price pressure toward equilibrium ☐ C The market immediately crashes and halts all commercial transactions ☐ D Both demand and supply curves shift outward to infinity

**Scholarly Concept & Analysis:** When price exceeds equilibrium, producers supply more than buyers wish to purchase ( $Q_s > Q_d$ ). Unsold inventories pile up, forcing competing sellers to lower prices until equilibrium is restored.

Q12. What is the primary microeconomic consequence of the government imposing an effective 'Price Ceiling' (maximum legal price) BELOW the market equilibrium price for an essential staple food?

- ☐ A A market surplus of the staple accumulates in supermarket aisles ☐ B Excess demand (shortage) develops ( $Q_d > Q_s$ ), leading to rationing, long queues, emergence of black markets, and deadweight economic loss ☐ C Producers instantly quadruple production to satisfy all buyers ☐ D Market equilibrium remains completely unaffected

**Scholarly Concept & Analysis:** A price ceiling below equilibrium makes the good cheaper, raising quantity demanded while reducing suppliers' willingness to produce ( $Q_d > Q_s$ ), triggering shortages, rationing, and black marketing.

Q13. When the government establishes a 'Price Floor' (such as Minimum Support Price - MSP for wheat) ABOVE the free market equilibrium price, what problem arises unless the state intervenes?

- ☐ A Consumers consume all wheat in the country within 48 hours ☐ B Excess supply (surplus) arises as farmers produce more than consumers demand at the elevated price, requiring government procurement and buffer stocking to sustain the floor ☐ C Market price drops to zero ☐ D Private mills export all wheat without paying farmers

**Scholarly Concept & Analysis:** A price floor above equilibrium discourages consumer demand while encouraging farmer production ( $Q_s > Q_d$ ). The state must step in to buy and store the surplus (buffer stocks) to maintain the MSP.

Q14. In microeconomics, what is 'Deadweight Loss' caused by market-distorting price controls or excise taxes?

- ☐ A The physical weight of packaging material lost during shipping ☐ B The permanent loss of combined consumer surplus and producer surplus that is neither captured by consumers, producers, nor the state, representing net societal inefficiency ☐ C The revenue earned by municipal toll booths on highways ☐ D The monetary depreciation of delivery trucks over five years

**Scholarly Concept & Analysis:** Deadweight loss is the net loss of total social welfare (consumer + producer surplus) resulting from an inefficient level of production where marginal social benefit does not equal marginal social cost.

Q15. What is 'Consumer Surplus' in Alfred Marshall's cardinal utility analysis?

- ☐ A The total number of unwanted products left in a consumer's shopping cart ☐ B The difference between the maximum price a consumer is willing to pay for a good and the actual lower market price they pay ( $\text{ext}\{\text{Willingness to Pay}\} - \text{ext}\{\text{Market Price}\}$ ) ☐ C The discount coupon received from a grocery store clerk ☐ D The total bank savings accumulated by a household in a year

**Scholarly Concept & Analysis:** Consumer surplus is the net economic benefit to consumers: the area beneath the demand curve and above the market price, reflecting the excess utility enjoyed over what was actually paid.

Q16. If the government levies a per-unit excise tax on a commodity whose demand is Perfectly Inelastic ( $E_d = 0$ ), who bears the ultimate economic burden (tax incidence) of the tax?

- ☐ A Producers bear 100% of the tax burden alone ☐ B Consumers bear 100% of the tax burden, as producers pass on the entire tax through higher retail prices without losing any sales volume ☐ C Foreign importers bear the tax burden equally ☐ D The tax burden is automatically cancelled by the central bank

**Scholarly Concept & Analysis:** When demand is perfectly inelastic (vertical demand curve), buyers must purchase the exact same quantity regardless of price; sellers shift the entire tax onto buyers via higher prices.

Q17. What happens to the market equilibrium price and quantity of electric cars if there is a SIMULTANEOUS breakthrough in battery technology (shifting supply right) and a surge in public environmental preference for clean vehicles (shifting demand right)?

- ☐ A Equilibrium quantity unambiguously increases, while the change in equilibrium price is indeterminate (depends on the relative magnitude of the shifts) ☐ B Equilibrium price unambiguously increases, while quantity remains unchanged ☐ C Equilibrium quantity unambiguously decreases ☐ D Both equilibrium price and quantity drop to zero

**Scholarly Concept & Analysis:** Both rightward shifts work together to increase quantity ( $Q^*$  rises unambiguously). However, supply increase lowers price while demand increase raises price, making the net price effect indeterminate.

Q18. In a market characterized by 'Perfect Competition', what is the nature of the demand curve faced by an individual firm?

- ☐ A Downward sloping with unitary elasticity ☐ B Perfectly Elastic (horizontal straight line at the prevailing market price), meaning the individual firm is a pure 'price taker' ☐ C Perfectly Inelastic (vertical straight line) ☐ D Upward sloping from left to right

**Scholarly Concept & Analysis:** Under perfect competition, firms sell identical products and represent an infinitesimal share of the market; they can sell any quantity at the market price, making their individual demand curve horizontal ( $E_d = \infty$ ).

Q19. What is 'Monopoly Power' and what is its primary microeconomic consequence compared to a competitive market?

- ☐ A A monopoly sets price equal to marginal cost and maximizes consumer surplus ☐ B A single seller with formidable barriers to entry possesses price-setting power, restricting market output and charging a price above marginal cost ( $P > MC$ ), creating deadweight loss ☐ C A monopoly is legally required to distribute all profits to charity ☐ D A monopoly cannot earn any profit because consumers refuse to buy from single sellers

**Scholarly Concept & Analysis:** Monopolists face downward-sloping demand and produce where  $MR = MC$ , setting  $P > MC$ . This restricts output below competitive levels, transferring consumer surplus and creating deadweight loss.

Q20. What is an 'Inferior Good' in consumer theory?

- ☐ A A defective or expired product that fails safety inspections ☐ B A good for which demand decreases as consumer income increases (negative income elasticity of demand,  $E_y < 0$ ) ☐ C A product imported from developing economies ☐ D A luxury good that costs more than 100,000 rupees

**Scholarly Concept & Analysis:** Inferior goods (e.g., coarse grains, basic public bus transport) have negative income elasticity: as consumers become wealthier, they substitute toward superior alternatives (e.g., fine rice, private motorbikes).

Q21. What does a 'Shift of the Supply Curve to the Left' (decrease in supply) signify?

- ☐ A Producers are willing to supply more at every given price due to cheaper energy ☐ B Producers are willing to supply fewer units at every price level, caused by adverse factors such as rising input costs, higher corporate taxes, or natural drought disasters ☐ C Consumer demand has increased across all retail stores ☐ D The market price has reached absolute zero

**Scholarly Concept & Analysis:** A leftward supply shift means higher production costs or disrupted supply chains force sellers to offer lower quantities at every price, driving equilibrium price up and quantity down.

Q22. How does 'Time Horizon' affect the Price Elasticity of Supply for manufactured goods?

- ☐ A Supply is perfectly elastic in the immediate momentary run and perfectly inelastic in the long run ☐ B Supply is highly inelastic in the momentary market period (fixed inventories), becoming progressively more price elastic in the long run as firms adjust plant capacity, hire labour, and expand capital equipment ☐ C Time horizon has zero mathematical effect on supply elasticity ☐ D Supply elasticity drops to zero after exactly one week of production

**Scholarly Concept & Analysis:** In the momentary period, supply is fixed (inelastic). In the long run, firms can expand production lines, source inputs, and enter/exit the market, making long-run supply far more elastic.

Q23. What is 'Price Discrimination' practiced by a monopolist?

- ☐ A Refusing to sell goods to customers who do not own a credit card ☐ B Charging different prices to different consumer segments or for different quantities of the same good for reasons not associated with differences in production costs ☐ C Lowering prices for all customers during seasonal festival sales ☐ D Paying different wages to factory workers based on seniority

**Scholarly Concept & Analysis:** Price discrimination involves charging different prices to separate market segments with varying price elasticities (e.g., student airline discounts vs business fares), converting consumer surplus into monopoly profit.

Q24. When cross-price elasticity of demand between two goods X and Y is strictly NEGATIVE ( $SE_{xy} < 0$ ), what does this reveal about their consumption relationship?

- ☐ A Goods X and Y are Substitutes (like butter and margarine) ☐ B Goods X and Y are Jointly Demanded Complements (like automobiles and petrol, or printers and ink cartridges) ☐ C Goods X and Y are Giffen goods ☐ D Goods X and Y have zero economic relation

**Scholarly Concept & Analysis:** Negative cross-price elasticity ( $SE_{xy} < 0$ ) indicates complementary goods: a price rise in cars decreases car demand, which in turn reduces demand for fuel, causing both goods to move together.

Q25. In market equilibrium analysis, what is the 'Cobweb Model'?

- ☐ A A model explaining why software networks develop computer viruses ☐ B A dynamic model of cyclical price fluctuations in agricultural markets where current production output responds with a time lag to past season prices, generating oscillating convergence or divergence around equilibrium ☐ C A theory explaining how spider silk can be manufactured synthetically in factories ☐ D A model demonstrating why commercial banks maintain cash reserve ratios

**Scholarly Concept & Analysis:** The Cobweb phenomenon occurs in agriculture where farmers make planting decisions based on current harvest prices; lag between decision and harvest causes recurring price and supply oscillations.

#### CBSE CANDIDATE OMR ANSWER RESPONSE GRID (SET G)

|            |            |            |            |            |
|------------|------------|------------|------------|------------|
| 01 A B C D | 02 A B C D | 03 A B C D | 04 A B C D | 05 A B C D |
| 06 A B C D | 07 A B C D | 08 A B C D | 09 A B C D | 10 A B C D |
| 11 A B C D | 12 A B C D | 13 A B C D | 14 A B C D | 15 A B C D |
| 16 A B C D | 17 A B C D | 18 A B C D | 19 A B C D | 20 A B C D |
| 21 A B C D | 22 A B C D | 23 A B C D | 24 A B C D | 25 A B C D |

Total Questions Attempted: \_\_\_\_ / 25

Marks Obtained: \_\_\_\_ / 25

Evaluator's Signature: \_\_\_\_\_

### OFFICIAL ANSWER KEY & IN-DEPTH SCHOLARLY EXPLANATIONS (SET G)

| Q. No. | Correct | Curricular Concept & Scholarly Analysis                                                                                                                                                                                          |
|--------|---------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1      | B       | Marshall resolved the classical vs marginalist debate by showing that just as both blades of a pair of scissors cut paper, market equilibrium price is determined jointly by demand (utility) and supply (marginal cost).        |
| 2      | B       | The downward slope reflects: (1) diminishing marginal utility (successive units yield less satisfaction), (2) substitution effect (cheaper relative to substitutes), and (3) income effect (higher real purchasing power).       |
| 3      | A       | A price change causes movement along the curve (expansion/contraction of quantity demanded). Non-price factors (income, preferences, cross-prices) shift the entire demand curve (increase/decrease in demand).                  |
| 4      | B       | When the price of one good rises, demand for its substitute rises as consumers switch away (positive cross-price elasticity, $E_{AB} > 0$ ). Hence, A and B are substitutes (e.g., tea and coffee).                              |
| 5      | B       | A Giffen good is a highly inferior staple without close substitutes where a price rise impoverishes poor consumers so much (negative income effect) that they buy more of it, violating the Law of Demand.                       |
| 6      | A       | Veblen goods (luxury designer jewelry, supercars) exhibit ostentatious prestige demand: higher prices enhance exclusivity and perceived status, inducing higher demand among wealthy buyers.                                     |
| 7      | B       | Price elasticity of demand is $ E_d  =  \% \Delta Q / \% \Delta P  =  -20\% / +20\%  = 1.0$ . This represents unitary elastic demand, where total expenditure remains constant.                                                  |
| 8      | B       | When price falls and total spending rises (or price rises and total spending falls), the percentage change in quantity exceeds the percentage change in price ( $ E_d  > 1$ ), indicating elastic demand.                        |
| 9      | A       | Life-saving medicines (like insulin) are absolute necessities with zero close substitutes and consume a modest fraction of income; consumers will buy them regardless of price increases.                                        |
| 10     | B       | The Law of Supply states that, ceteris paribus, higher prices incentivize producers to supply more units because higher revenue covers rising marginal costs, yielding higher profits.                                           |
| 11     | B       | When price exceeds equilibrium, producers supply more than buyers wish to purchase ( $Q_s > Q_d$ ). Unsold inventories pile up, forcing competing sellers to lower prices until equilibrium is restored.                         |
| 12     | B       | A price ceiling below equilibrium makes the good cheaper, raising quantity demanded while reducing suppliers' willingness to produce ( $Q_d > Q_s$ ), triggering shortages, rationing, and black marketing.                      |
| 13     | B       | A price floor above equilibrium discourages consumer demand while encouraging farmer production ( $Q_s > Q_d$ ). The state must step in to buy and store the surplus (buffer stocks) to maintain the MSP.                        |
| 14     | B       | Deadweight loss is the net loss of total social welfare (consumer + producer surplus) resulting from an inefficient level of production where marginal social benefit does not equal marginal social cost.                       |
| 15     | B       | Consumer surplus is the net economic benefit to consumers: the area beneath the demand curve and above the market price, reflecting the excess utility enjoyed over what was actually paid.                                      |
| 16     | B       | When demand is perfectly inelastic (vertical demand curve), buyers must purchase the exact same quantity regardless of price; sellers shift the entire tax onto buyers via higher prices.                                        |
| 17     | A       | Both rightward shifts work together to increase quantity ( $Q^* \$$ rises unambiguously). However, supply increase lowers price while demand increase raises price, making the net price effect indeterminate.                   |
| 18     | B       | Under perfect competition, firms sell identical products and represent an infinitesimal share of the market; they can sell any quantity at the market price, making their individual demand curve horizontal ( $E_d = \infty$ ). |
| 19     | B       | Monopolists face downward-sloping demand and produce where $MR = MC$ , setting $P > MC$ . This restricts output below competitive levels, transferring consumer surplus and creating deadweight loss.                            |

| Q. No. | Correct | Curricular Concept & Scholarly Analysis                                                                                                                                                                                    |
|--------|---------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 20     | B       | Inferior goods (e.g., coarse grains, basic public bus transport) have negative income elasticity: as consumers become wealthier, they substitute toward superior alternatives (e.g., fine rice, private motorbikes).       |
| 21     | B       | A leftward supply shift means higher production costs or disrupted supply chains force sellers to offer lower quantities at every price, driving equilibrium price up and quantity down.                                   |
| 22     | B       | In the momentary period, supply is fixed (inelastic). In the long run, firms can expand production lines, source inputs, and enter/exit the market, making long-run supply far more elastic.                               |
| 23     | B       | Price discrimination involves charging different prices to separate market segments with varying price elasticities (e.g., student airline discounts vs business fares), converting consumer surplus into monopoly profit. |
| 24     | B       | Negative cross-price elasticity ( $E_{xy} < 0$ ) indicates complementary goods: a price rise in cars decreases car demand, which in turn reduces demand for fuel, causing both goods to move together.                     |
| 25     | B       | The Cobweb phenomenon occurs in agriculture where farmers make planting decisions based on current harvest prices; lag between decision and harvest causes recurring price and supply oscillations.                        |